

Is Solar Going As Planned?

Most of the equipment orders for the solar PV plants to be built in India are going to foreign manufacturers. The plants of Indian manufacturers, on the other hand, are lying shut or not operating at full capacity for want of orders. Did we really want that to happen?



UMA GUPTA

India has made considerable progress in solar PV project development. The capacity commissioned so far is about 186 megawatts. Of this, 40 MW worth of off-grid projects were commissioned in 2011. The country plans to build an initial capacity of 1 GW of solar power by 2013—enough to power close to one million homes.

However, at a time when a Rs 800-billion National Solar Mission is being rolled out and project development gaining steam, the plants of India's two biggest PV cell manufacturers, Tata BP Solar and Indosolar, are lying shut for want of orders—exposing the state of Indian solar power equipment manufacturing in India.

The problem, as in many other industries, is the global glut.

Indian manufacturers are unable to compete with the products coming from China and the US. They allege that while the Chinese are dumping (selling below cost), the American companies that are using the 'thin film' technology are able to grab the orders because they are backed by ultra-low interest credit from the US Exim Bank.

Sadly, in view of the global glut, Shan Solar, another manufacturer, has decided to put on hold its Rs 7.2-billion project for manufacturing polysilicon cells in India. The project was to come up near Shan Solar's module-making plant in the Sri City industrial estate, 55 km north of Chennai. The company is not likely to revisit the plan at least

until June this year, according to C. Suryaprasad, CEO and joint managing director.

Shan Solar had just recently commissioned a Rs 800-million module plant, which is capable of producing 30 MW worth of modules. The company had intended to go a step down the value chain by also setting up a cell plant, which calls for a large investment. Its module plant has just gone on stream and bagged some orders from Europe. But even this plant is not operating to its full capacity.

The Jawaharlal Nehru National Solar Mission (JNNSM) guidelines stipulate that all grid-connected solar PV projects in India coming under the scheme will have to use cells and modules that are made in India. This presents a huge opportunity for solar PV module manufacturing in India as solar module demand is likely to touch 2000 MW by 2017 and 7500 MW by 2022.

Clearly, this rule was intended to create a domestic manufacturing hub in India—one of the world's fastest growing markets. Unfortunately, Indian suppliers have failed to benefit from it. Instead, low-cost Chinese rivals like Suntech and Trina Solar and US firms backed by preferential trade finance including First Solar have grabbed most of the equipment orders for the plants to be built in India.

"It's a disaster in the making," says K. Subramanya, CEO of Tata BP Solar. "We want solar to succeed but we need fair competition."

What's going wrong

There are many factors at play, including the scale of manufacturing,